

certain industries and the utility of a balance sheet in understanding the underlying drivers of a business.

*Security Analysis* was written in the depths of the Great Depression, at a time when global economic activity had collapsed, and the U.S. stock market had plunged more than 80% in only three years. This market disarray left enormous carnage in its wake. In a period when not only the future prospects but even the immediate viability of many businesses seemed dim, identifying stocks trading below the liquidation value of the underlying companies was a fruitful filter. A great many securities were available on the bargain counter. Investing amid plunging prices and significant economic uncertainty, when others were fearing there was worse to come, might have seemed risky but actually conferred a favorable ratio of reward to risk for those intrepid enough to buy in.

However, most of the time, the economy is not in depression and relatively few securities meet the strict Graham and Dodd criteria. An investor focusing solely on buying what they called “net nets”—companies trading for less than the value of their working capital net of all liabilities—would be ignoring a vast universe of potential (and likely more attractive) opportunities—in higher quality businesses with better growth prospects. As with anyone following an overly narrow approach, investors must have an answer to the question, “What do you do when there’s nothing to do?”

Investment approaches should be built not just to navigate one moment in time but to be relevant all the time. We must consider the opportunity to buy common stocks for less than the liquidation value of the underlying companies to be a rare aberration, one to be found only sporadically and at a small number of companies. Even if such valuations were found, we would need to be circumspect about whether the approach would bear fruit. The companies such a screen might reveal are likely to be those with significant problems and